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EU AI Act

Cyprus

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AI & Partners defends and extends the digital rights of users at risk around the world. By combining direct technical support, comprehensive policy engagement, global advocacy, grassroots professional services, regulatory interventions, and participating in industry groups such as AI Commons, we fight for fundamental rights in the artificial intelligence age.

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Who Are We

AI That You Can Trust

Why Us?

Stay on the right side of history. At AI & Partners, we believe AI should unlock potential—not cause harm. We’ve seen the fear and fallout when teams lose control of AI, but also the trust and innovation that follow when it’s handled responsibly. That’s why we exist: to help you build AI you can trust and stand behind—for the long run.

80%

of AI systems
are unknown

What Do We Do?

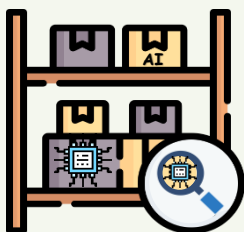
We enable safe AI usage—for your organization and your clients. Unknown AI adoption leads to confusion, risk, and reputational damage. We help you take control with tools to identify, monitor, and govern all AI systems—so you're not reacting to AI, you're leading it.



How Do We Do It?

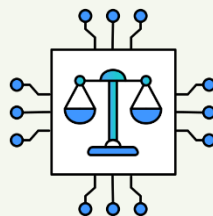
Do you know what AI systems you have? Identify all known and unknown AI systems (algorithms, LLMs, prompts, and models) from all internal and external AI vendors, automated by generating your inventory. Overall, 80% of AI inventory is unknown to our clients.

How do you guarantee ongoing safe AI use? Continuously monitor deployed AI systems for performance drift, anomalies or failures, real-world impacts, and emerging risks (e.g. data poisoning). Any malfunction of an AI system has severe implications for organisations (e.g. inability to assess online misinformation that leads to widespread public mistrust), so monitoring becomes a matter of urgency.



AI Discovery & AI Inventory

Automatically detect all AI systems, including models, algorithms, and prompts, and maintain a live, always-updated register for full visibility and compliance.



Responsible AI

Embed fairness, transparency, and control into every stage of AI use—aligning with the EU AI Act and building ‘Trustworthy-by-Design’.



Model Monitoring

Continuously track your AI models after deployment to detect drift, bias, or failure—so you stay in control and prevent harm before it happens.



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Overview

Artificial Intelligence (AI) is increasingly embedded across economies and public services worldwide, and Cyprus is navigating its digital transformation with a strategic, EU-aligned, and values-driven approach to AI governance. While not pursuing standalone national legislation, Cyprus is implementing the European Union's AI Act and supplementing it with targeted institutional coordination, infrastructure investments, and innovation-focused initiatives to ensure safe, effective, and rights-respecting AI adoption.

At the core of Cyprus's AI governance strategy is compliance with the EU AI Act, which is operational through the designation of national authorities such as the Communications Commissioner (as the Notifying and Market Surveillance Authority), the Commissioner for Personal Data Protection, the Ombudsman, and the Attorney General. These institutions form a decentralized but coordinated regulatory structure, supported by the recently launched National AI Taskforce, which advises the President and leads strategic alignment with European standards.

While Cyprus has not introduced sweeping new legislation, it embeds AI oversight within its strong data protection framework rooted in the GDPR and Law 125(I)/2018. Sector-specific adaptation is evolving, and legal accountability for AI use is addressed through existing civil, labor, and IP laws. To foster responsible experimentation, Cyprus is also promoting regulatory sandboxes—particularly for SMEs—to test AI applications in controlled environments.

Cyprus's institutional framework reflects a whole-of-government strategy. The Deputy Ministry of Research, Innovation and Digital Policy leads implementation of AI governance, supported by the Department of Electronic Communications, sectoral ministries, and expert advisory bodies. The National AI Taskforce and the AI Expert Group coordinate cross-sectoral engagement, perform policy analysis, and monitor real-world AI use cases.

International cooperation plays a central role in Cyprus's AI strategy. The country is an active contributor to EU and global AI standard-setting bodies such as ISO/IEC and CEN/CENELEC, aligning with the OECD AI Principles and supporting global interoperability. Through regional partnerships, including collaboration with international data centers, Cyprus positions itself as a strategic data and innovation hub for the Eastern Mediterranean.

Cyprus's AI vision, outlined in its National AI Strategy and digital transformation roadmap, centers on sustainable innovation, SME enablement, and inclusive digital growth. Strategic actions include fostering research-industry partnerships, scaling compute access through high-performance computing and cloud platforms, and accelerating public sector modernization through AI-enabled e-government services.

Education and skills development are critical components of Cyprus's approach. The government is updating higher education curricula, supporting AI-specific degrees, and delivering AI literacy training for professionals and public servants. Initiatives also support AI startups and SMEs with technical assistance, accelerator programs, and guidance on ethical and responsible deployment.

Through a combination of EU harmonization, strategic capacity-building, and collaborative governance, Cyprus is advancing an AI model that balances regulatory responsibility with economic opportunity. This report explores Cyprus's evolving AI policy architecture, institutional mechanisms, and innovation strategies—illustrating how a small, agile economy is shaping a future of ethical, interoperable, and digitally inclusive AI.





Specific AI Governance or Law

Cyprus lacks standalone AI legislation but is implementing the EU AI Act, with initial chapters effective since February 2025 and full rollout by August 2026. Authorities have been designated for oversight, and a National AI Taskforce was launched in 2025 to advise on strategy and coordinate national AI efforts.

Specific AI Governance in Cyprus

Cyprus has not enacted standalone national legislation specific to AI. Instead, as a member of the European Union, it will implement the EU AI Act, which establishes a harmonized regulatory framework for AI systems across Member States. Chapters I and II of the EU AI Act—covering scope, definitions, and prohibitions—apply directly in Cyprus since February 2, 2025, with full implementation due by August 2, 2026. To prepare for this, Cyprus has notified the European Commission of three competent authorities to supervise compliance with Article 77 of the AI Act regarding fundamental rights: the Commissioner for Personal Data Protection, the Ombudsman, and the Attorney General. The Communications Commissioner will act as the national Notifying Authority and Market Surveillance Authority, serving as the Single Point of Contact for AI regulation. In January 2025, Cyprus established a National AI Taskforce to advise the President on strategy, foster innovation, monitor trends, and identify real-world AI use cases. This marks a shift toward more structured national coordination, even in the absence of standalone AI legislation.

AI Ethics Guidelines and Sectoral Governance Tools

While Cyprus does not yet have a unified AI ethics framework, the country's 2020 National Strategy for Artificial Intelligence outlines key principles: trustworthy AI, democratic values, data protection, investment, and skills development. These pillars align with EU-level priorities and are expected to be revised in light of rapid technological changes and the emergence of general-purpose AI models. Data protection and algorithmic bias remain key concerns. Cyprus adheres to the GDPR and its domestic implementation (Law 125(I)/2018), with strong protections for personal data and limits on profiling and automated decision-making. The Commissioner for Personal Data Protection plays an essential role in upholding these standards in the AI context. Cyprus's intellectual property and civil liability frameworks—covering copyright, patents, trade secrets, and tort law—apply to AI-related accountability in the absence of AI-specific laws. AI-generated output is not currently protected under copyright or patent law unless there is significant human authorship or inventive contribution.

Proposed AI Regulatory Authority and Future Outlook

The Deputy Ministry of Research, Innovation and Digital Policy will continue to coordinate AI policy development, supported by the National AI Taskforce and existing authorities. Sectoral oversight will likely be shared across these bodies, with the Communications Commissioner leading market surveillance. As Cyprus updates its National AI Strategy, it is expected to prioritize infrastructure improvements, cross-border data flow facilitation, and responsible innovation. Given its position as a fintech and data hub in the Mediterranean, Cyprus is aiming to foster ethical, secure, and high-performance AI systems that support national competitiveness. Cyprus's regulatory trajectory will reflect both EU-level obligations and domestic priorities in digital transformation. As the AI Act takes full effect, Cyprus is positioned to refine its institutional readiness and balance innovation with robust rights protection.



Discussion: Cyprus' National AI Strategy

'Cyprus's AI governance strategy is grounded in a European-aligned, capability-building framework that emphasizes ethical deployment, SME enablement, and digitally inclusive growth. Operationalized through the National AI Strategy of Cyprus and its alignment with the EU Coordinated Plan on AI, Cyprus promotes human-centric and secure AI innovation through collaborative governance, education, and strategic sectoral support.'

National target in line with the EU 2030 target (75%)

Ranks 35/174 countries in the IMF AI Preparedness Index

Funding programme of EUR 5M to be set-up to allow public/private-sector collaboration

Analysis

Cyprus's AI strategy reflects a pragmatic, resource-conscious approach focused on international collaboration, legal alignment, and sustainable innovation. While Austria emphasizes industrial modernization through high-tech initiatives like Gaia-X and the Chips Act, Cyprus prioritizes maximizing impact from limited resources through targeted public investment, structured public-private partnerships, and capacity building. The National AI Strategy—developed by the Department of Electronic Communications under the Ministry of Transport, Communications and Works—adopts a four-pillar framework: investment maximization, national data spaces, talent and skills cultivation, and ethical AI development. Although the AI adoption rate among businesses remains modest, Cyprus seeks to close the gap by incentivizing digital transformation, improving data infrastructure, and engaging research institutions and SMEs in AI development. Strategic tools such as a national AI expert working group, targeted funding schemes, and coordination through the Deputy Ministry of Research, Innovation and Digital Policy underpin Cyprus's drive to responsibly scale AI within its broader digital and economic modernization plans.

Cyprus's strategy targets high-impact sectors such as public administration, health, education, and agriculture, leveraging its digital transformation roadmap and EU-supported initiatives. Plans include expanding digital public services, enhancing e-government platforms, and using AI to improve public service efficiency and responsiveness. Sectoral initiatives also include the promotion of smart cities, AI applications in weather prediction and disaster prevention, and energy efficiency. Cyprus has initiated efforts to build high-performance computing access and data interoperability through open data portals and a proposed National Research Data Gateway. Although it lacks major AI hardware initiatives like Austria's semiconductor investments, Cyprus compensates through regional partnerships and international cloud infrastructure agreements.

Cyprus follows a decentralized but coordinated model of AI governance, with the Department of Electronic Communications leading implementation, supported by cross-sector working groups and expert advisory councils. Multi-stakeholder involvement includes academia, business associations, and municipalities, creating Communities of Practice to promote regional innovation alignment. The AI Expert Group is responsible for strategic planning, performance monitoring, and proposing updates to the national strategy. It collaborates closely with the Research and Innovation Foundation and participates in EU working groups to ensure Cyprus's interests are reflected in evolving European AI frameworks. Cyprus promotes trustworthy and ethical AI development by embedding GDPR principles, forming an Ethics and Trustworthy AI Committee, and initiating AI impact assessments. Its participation in ISO, ITU, and CEN/CENELEC working groups on AI standardization enables alignment with global frameworks and ethical norms. The government encourages the use of regulatory sandboxes, especially for SMEs and startups, enabling experimentation with AI applications in a secure, supervised environment. While global leadership in deep-tech remains aspirational, Cyprus aims to position itself as a trusted innovation hub in the Eastern Mediterranean.

Cyprus's strategy places strong emphasis on education and lifelong learning. Initiatives include curriculum development, AI upskilling programs, and incentives for research collaboration between universities and businesses. A core objective is retaining local AI talent and attracting international expertise to support domestic R&D. Support for startups and SMEs includes guidance on digital transformation, AI accelerators, and plans for a National Centre of Excellence in AI. However, challenges persist in scaling venture capital access and integrating academic research with commercial application. Cyprus's AI roadmap is future-focused, emphasizing interoperability, legal clarity, and sustainability. National priorities include upgrading broadband infrastructure, developing a national eID system, and enhancing digital service platforms—all framed within the EU Digital Decade goals. While Cyprus lacks the scale of Austria's federal investments, it compensates through efficient use of EU funding, strong institutional coordination, and policy frameworks tailored to its economic realities. Performance tracking is expected to align with DESI indicators and the implementation of the EU AI Act.



Cyprus' Approach to AI Regulation and Governance

Cyprus has no standalone AI law but follows the EU AI Act, with key provisions in force since February 2025 and full implementation by August 2026. A National AI Taskforce guides policy, and earlier initiatives like the 2020 AI Strategy focused on ethics, investment, and infrastructure, with updates anticipated.

1. Regulatory and Strategic Frameworks

Cyprus's AI governance is grounded in the European regulatory landscape, with no standalone national AI legislation in force. The EU AI Act, directly applicable across Member States, provides the primary legal framework. As of February 2025, Chapters I and II—covering scope, definitions, and prohibited AI practices—apply in Cyprus, with full implementation set for August 2026. In response, Cyprus established a domestic governance framework designating competent authorities and compliance mechanisms. A National AI Taskforce was launched in January 2025 to inform strategic direction and policy design. Additionally, prior national initiatives—such as the 2020 National Strategy for Artificial Intelligence—set early priorities around investment, ethical AI, and digital infrastructure, with an update expected to align with recent technological advances.



2. Institutional Support and Strategic Missions

The Deputy Ministry of Research, Innovation and Digital Policy leads national coordination on AI, supported by a multi-agency approach. The Communications Commissioner has been designated as both the Notifying Authority and the Market Surveillance Authority under the AI Act. The Commissioner for Personal Data Protection and the Ombudsman also hold supervisory roles regarding the protection of fundamental rights in AI use. The National AI Taskforce supports the President of Cyprus in identifying policy priorities, real-world AI use cases, and public-sector transformation opportunities. Strategic focus areas include fostering research excellence, public service enhancement, and international AI engagement.

3. Standards Development and Global Engagement

Cyprus engages in international AI standardisation through national experts in ISO/IEC JTC 1/SC 42 and CEN-CENELEC JTC 21. Although a small jurisdiction, Cyprus aligns its frameworks with EU and OECD standards, facilitating consistency in AI governance and technology deployment. Institutionally, the Cyprus Organisation for Standardisation and other agencies contribute to global dialogues on AI ethics, transparency, and technical standards, ensuring national alignment with cross-border norms.





4. Sectoral and Extended Regulatory Approaches

AI governance in Cyprus relies on the adaptation of existing legal frameworks, particularly in data protection, labor, IP, and civil liability. While no sector-specific AI laws exist, the Government has acknowledged gaps in areas like employee data protection and is considering legislative updates to address them. Under Cyprus labor law, board directors are accountable for decisions involving AI use and must exercise reasonable diligence, even when relying on automated systems. This reinforces a culture of professional oversight in AI deployment.

5. Fostering Innovation and Indigenous Development

Cyprus aims to position itself as a regional AI and fintech hub, leveraging its tax and business environment. Over 50 domestic and international organizations are already developing AI solutions across sectors like medical research, shipping, and financial services. Innovation is further supported through IP frameworks and incentives for R&D, including tax exemptions for copyrighted software and patented inventions. The National AI Strategy emphasizes investment in partnerships and talent development, with a renewed focus expected through the AI Taskforce.

6. AI in Public Sector Transformation

The Cypriot government is actively exploring AI applications in public service delivery, with goals including administrative efficiency, data-driven policymaking, and service optimization. The National AI Taskforce has prioritized government transformation in its agenda, particularly through AI-based improvements in healthcare, education, and public administration. A coordinated regulatory framework ensures that AI use in the public sector adheres to EU AI Act principles, including transparency, non-discrimination, and accountability.



7. AI Skills, Education and Inclusion

Cyprus's AI strategy underscores the need for digital skills development. Education and training initiatives focus on building technical competencies and AI literacy across academia, public services, and the private sector. Ongoing efforts aim to close digital divides and promote equitable access to AI opportunities, with specific attention to workforce readiness and lifelong learning. Surveys suggest strong generative AI uptake among legal professionals, indicating high awareness but uneven depth of integration.

8. Infrastructure, Compute and Data Foundations

To support AI growth, Cyprus is enhancing its data and digital infrastructure. A partnership with Khana, a major UAE data centre operator, aims to establish the island as a strategic data gateway connecting Europe, Asia, and Africa. Cyprus is also developing national capabilities for AI experimentation and compliance monitoring, including through regulatory sandboxes. The Communications Commissioner is expected to oversee technical enforcement, ensuring that Cyprus's approach to AI regulation is future-ready and interoperable with broader EU enforcement mechanisms.

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Cyprus' Approach to Fostering AI Innovation

Cyprus's approach to artificial intelligence is anchored in inclusive governance, EU alignment, and the strategic use of public-private partnerships. Through its National AI Strategy and coordination by the Department of Electronic Communications, Cyprus promotes ethical, interoperable, and sustainable AI applications to support economic modernization, public service reform, and international competitiveness.

1. Unlocking Economic Value through Targeted AI Deployment

Cyprus emphasizes AI adoption in high-potential sectors such as healthcare, agriculture, finance, and energy. The strategy supports SMEs and startups in leveraging AI through targeted funding, training, and open-source platforms. Tools like High Performance Computing (HPC) and cloud-based AI services allow firms to scale innovation without substantial infrastructure investment. Cyprus encourages use of platform-based business models and aims to enhance competitiveness by integrating AI into existing economic clusters.

2. Catalysing Innovation through Strategic Clustering and Ecosystems

Cyprus fosters a collaborative innovation ecosystem through working groups and Communities of Practice, involving academia, industry, and government. Plans are underway to establish a National Centre of Excellence in AI and Applied Research to bridge scientific discovery with market needs. Partnerships with global research hubs and EU programs like Horizon Europe further position Cyprus as a regional testbed for responsible AI experimentation and interdisciplinary research.

3. Enabling Trusted and Responsible Data Use

With a strong focus on GDPR compliance and ethical AI, Cyprus is establishing an Ethics and Trustworthy AI Committee to guide legal and societal evaluations. The national strategy promotes algorithmic transparency, data interoperability, and inclusive stakeholder consultations. Cyprus is also active in international standardization bodies (e.g., ISO/IEC JTC 1/SC 42), contributing to the development of global AI norms.

4. Scaling AI in the Public Sector

Cyprus integrates AI into public administration through digital government platforms, aiming to enhance service efficiency, accessibility, and personalization. Applications include predictive analytics for public health, smart city planning, and administrative automation. The Digital Strategy of Cyprus sets the foundation for e-governance enhanced by AI, while the national AI roadmap envisions real-time citizen service and data-driven decision-making.





5. Advancing Compute and Research Infrastructure

Although Cyprus does not yet operate large-scale semiconductor facilities, it is investing in next-generation digital infrastructure. The government is partnering with international cloud and data providers to establish Cyprus as a regional data gateway. Efforts also include enhancing national data portals, building research data repositories, and providing HPC access to startups and academia to support AI research.

6. Empowering SMEs and Startups

Cyprus supports its SME ecosystem through targeted incentives, digital innovation hubs, and startup accelerators. Initiatives aim to bridge gaps in AI know-how through applied research collaborations, technical assistance, and industry-academic partnerships. Actions include creating investment networks and business angel communities to strengthen commercialization pathways for AI-driven entrepreneurship.

7. Developing a Future-Ready Workforce

Cyprus prioritizes talent development and lifelong learning as pillars of its AI strategy. Key initiatives include updating higher education curricula, supporting AI-specific master's programs, and delivering MOOCs and vocational training in collaboration with public and private actors. The strategy encourages upskilling of public servants, business professionals, and educators to foster broad-based AI literacy.

8. Aligning AI Innovation with Sustainability Goals

Cyprus promotes “AI for Green” use cases in water management, renewable energy, and climate resilience. Projects include smart irrigation, disaster prevention systems, and environmentally responsible supply chains. AI is also being explored for energy efficiency optimization and environmental monitoring, supporting the nation’s broader transition to a circular economy.

9. Building Public Trust and Ethical AI

Public trust in AI is addressed through participatory governance models, public consultations, and outreach campaigns. Cyprus’s strategy proposes inclusive policy development with transparency in AI decision-making. Ethics-by-design principles are embedded in AI development, supported by the planned launch of a national public-facing AI engagement platform.

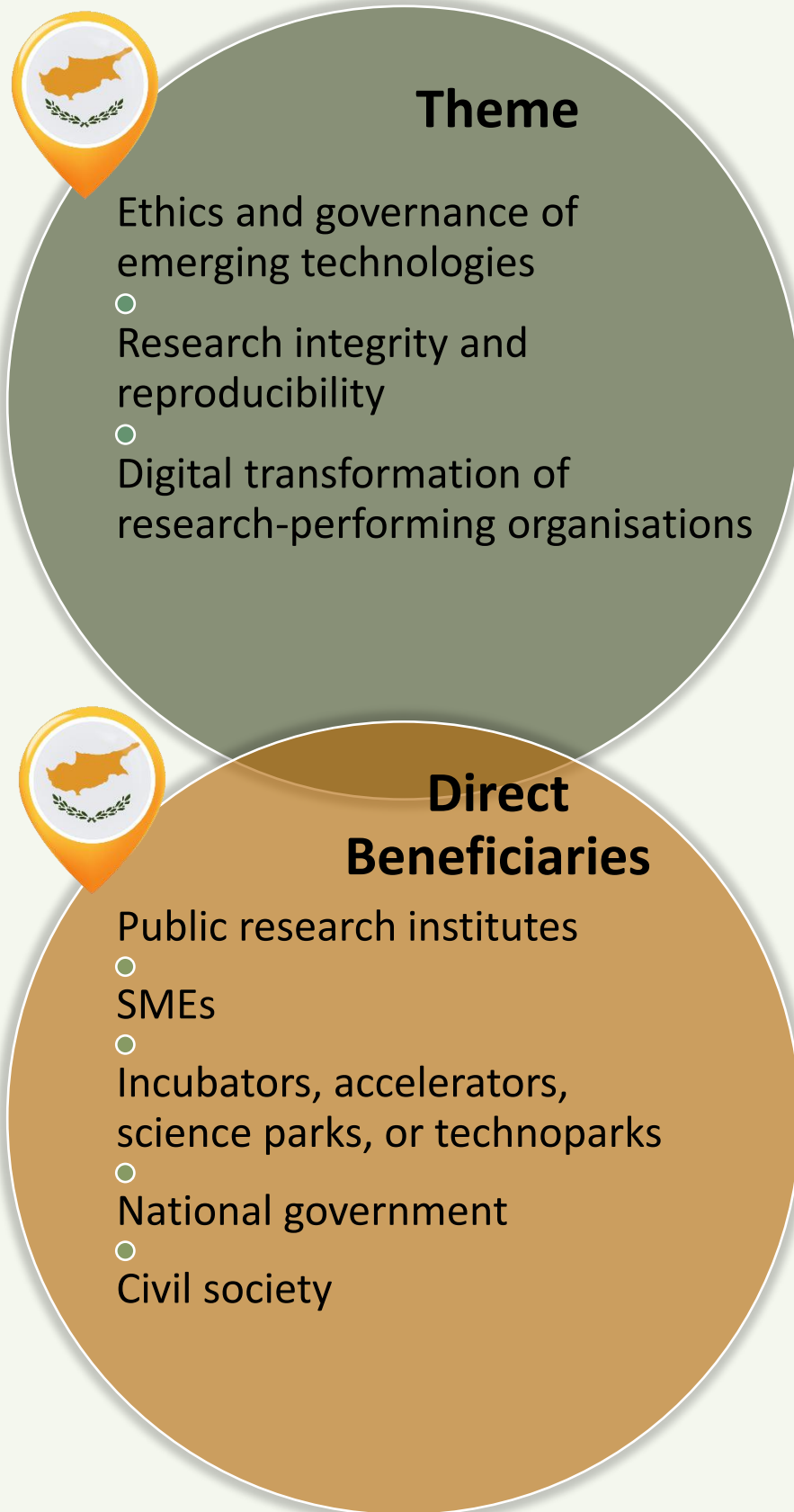
10. Shaping Global AI Governance and Standards

Cyprus actively contributes to shaping EU and international AI governance through participation in bodies like the European Commission AI working groups and standardization committees. The country seeks to be a responsible player in aligning national policy with EU digital objectives, reinforcing interoperability, ethical leadership, and cross-border collaboration in AI regulation.





Figure 1: Key themes and beneficiaries of Cyprus' National AI Strategy





Digital Decade 2025: Country Report

Cyprus has aligned its national objective for AI adoption with the EU's 2030 target of 75% and is currently progressing well along its planned trajectory. Although AI adoption among Cypriot enterprises remains modest—at 7.90% in 2024, compared to the EU average of 13.48%—the country has seen notable year-on-year growth. Additionally, Cyprus ranked 35th out of 174 countries in the IMF AI Preparedness Index, reflecting its readiness to harness AI for economic development.

To build on this momentum, Cyprus established an AI Taskforce in January 2025. Chaired by the Chief Scientist for Research, Innovation and Technology, the taskforce includes academic and industry experts and is responsible for shaping the national AI strategy. Its mandate includes advising on the use of AI to drive economic growth, enhance public services, and strengthen the national research and innovation landscape. In support of these objectives, a EUR 5 million funding programme is being prepared in cooperation with the Research and Innovation Foundation (RIF). This initiative will facilitate collaboration between the public sector and private companies to co-develop AI-driven solutions that improve public administration and service delivery. The programme is under design with input from relevant ministries and government bodies.

Cyprus is also seeking to deepen its participation in the broader EU AI ecosystem. Notably, the country aims to engage with Pharos, the Greek AI Factory, to support its businesses and start-ups. This partnership will provide end-to-end support, including training, access to data, and assistance with AI model development, fostering innovation and capacity building. While Cyprus shows strong performance in cloud computing and data analytics—surpassing the EU average—it still lags in AI integration. Small and medium-sized enterprises (SMEs), which contribute over half of the country's economic value added, continue to trail larger firms in digital transformation. Bridging this gap is key to boosting the competitiveness and resilience of Cyprus's SME sector.

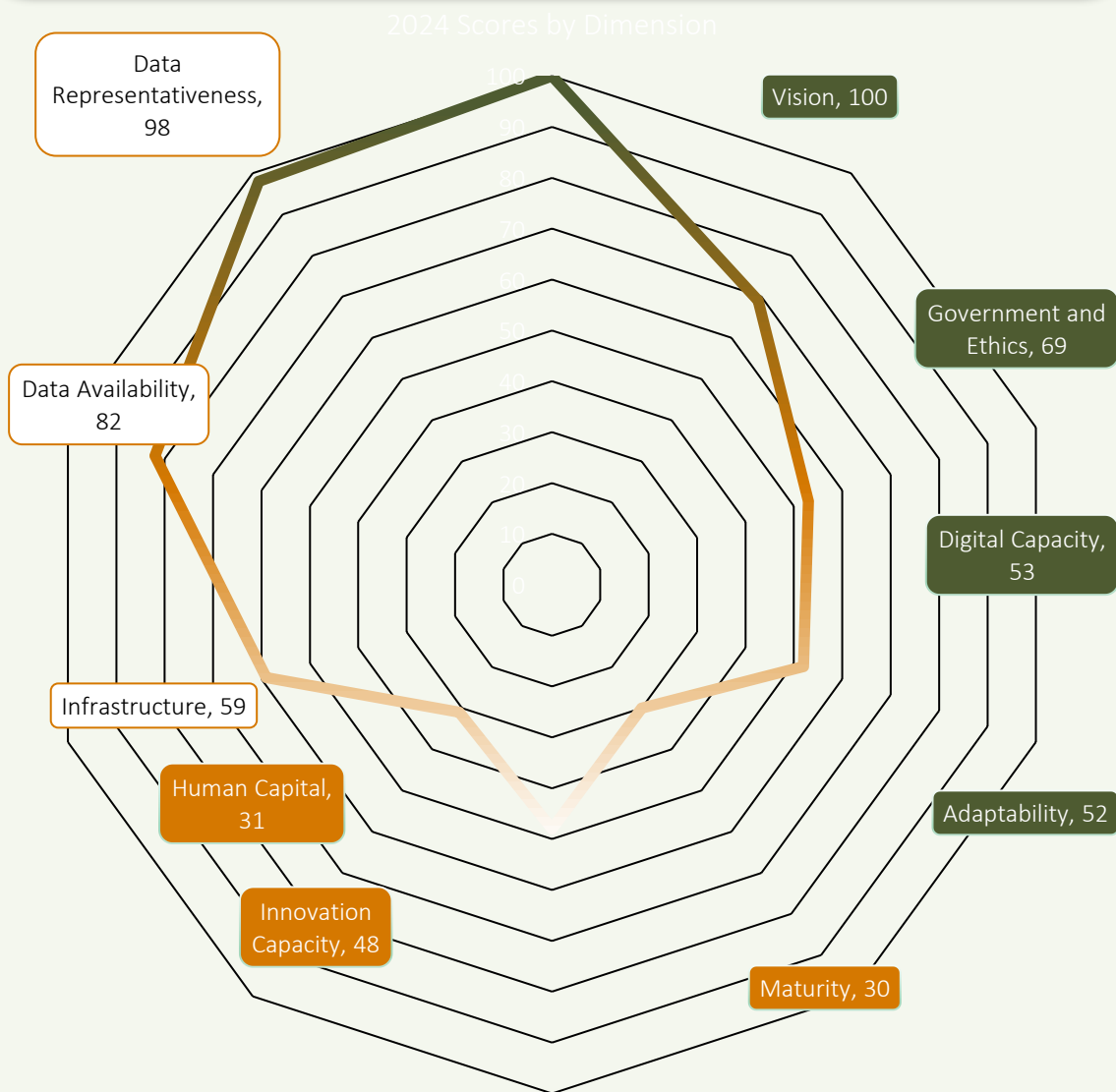
The 2024 recommendation encouraged Cyprus to evaluate whether additional, targeted measures were needed to help enterprises—particularly SMEs—achieve the AI adoption goal by 2030. In response, the country has taken meaningful steps. These include initiating an update to the national AI strategy, launching a dedicated funding programme for AI innovation in public services, and exploring participation in European Digital Infrastructure Consortia (EDICs). Cyprus has already committed EUR 450,000 to EUROPEUM, the blockchain-focused EDIC it co-founded, and is actively considering involvement in AI-specific EDICs to enhance cross-border collaboration and infrastructure development. These combined efforts are intended to accelerate digital innovation, increase adoption of advanced technologies, and reinforce Cyprus's position within the EU's digital transformation agenda.





Government AI Readiness by Oxford Insights

'Western Europe ranks as the highest-performing region in this year's Government AI Readiness Index, with five countries in the global top 10. France leads the regional ranking with a score of 79.36, narrowly ahead of the United Kingdom (78.88), followed closely by the Netherlands (77.23), Germany (76.90), and Finland (76.48). With an average regional score of 69.56, Western Europe outperforms the global average (47.59) across all three pillars of Government, Technology, and Data & Infrastructure. The region's standout strength is the Data & Infrastructure pillar, where it averages 81.91, more than 21 points above the global benchmark (59.62), reflecting its advanced digital infrastructure and high-quality data environment. Although a few microstates such as San Marino, Liechtenstein, and Andorra fall slightly below the global average in the Government pillar, Western Europe's dominance at the top of the index underscores its continued leadership in AI readiness.'





Government

Cyprus scores 68.53 in the Government pillar, reflecting a steadily maturing approach to AI governance rooted in EU alignment. While the country has not enacted standalone AI legislation, it is actively preparing for the EU AI Act, with key national institutions designated to oversee compliance, including the Commissioner for Personal Data Protection, the Ombudsman, and the Attorney General. Strategic direction is led by the Deputy Ministry of Research, Innovation and Digital Policy, which also launched the National AI Taskforce in 2025 to guide AI policy development, public sector integration, and rights protection. Although Cyprus currently lacks a national AI law or centralized regulator, its governance framework emphasizes human rights, data protection, and alignment with EU standards. These foundational steps underscore Cyprus's intent to responsibly shape its AI future within the European regulatory ecosystem.

Technology Sector

Cyprus scores 36.18 in the Technology pillar, indicating a developing AI ecosystem with significant growth potential. AI adoption is rising, particularly in sectors like healthcare, energy, and fintech, bolstered by more than 50 startups and research institutions leveraging the island's innovation-friendly environment. Despite this progress, structural limitations persist, including modest R&D capacity, limited venture funding, and slower SME integration of AI solutions. The country has yet to establish comprehensive AI support mechanisms such as sandboxes or dedicated public-private innovation hubs. However, initiatives like the 2020 National Strategy for Artificial Intelligence and partnerships with global data infrastructure leaders signal intent to build capacity and expand AI deployment.



Data & Infrastructure Sector

Cyprus achieves a robust 79.80 in the Data & Infrastructure pillar, driven by strong legal alignment with EU data protection rules and recent efforts to modernize digital infrastructure. High levels of broadband coverage, advancing 5G networks, and a national emphasis on lawful data sharing provide a solid foundation for AI expansion. The Communications Commissioner is designated as the single point of contact for AI compliance and will play a key role in the implementation of the EU AI Act. Additionally, Cyprus is partnering with international data centre operators to transform the island into a regional data gateway connecting Europe, Asia, and Africa. While challenges remain in terms of domestic data innovation and infrastructure scaling, Cyprus's legal preparedness and digital backbone position it well for AI integration.



Conclusion

Cyprus's artificial intelligence ecosystem is entering a formative phase—laying the groundwork for strategic digital transformation, institutional readiness, and EU-aligned regulatory implementation. Anchored in its National AI Strategy and guided by the forthcoming EU AI Act, Cyprus has developed a pragmatic, capability-oriented approach to AI adoption that emphasizes trustworthy deployment, data governance, and cross-border collaboration. Initiatives like the National AI Taskforce, the Deputy Ministry of Research, Innovation and Digital Policy, and the Ethics and Trustworthy AI Committee signal Cyprus's intent to scale AI responsibly across its public sector, economy, and innovation landscape.

Yet, structural constraints persist. As reflected in international readiness assessments, Cyprus faces challenges in translating early-stage planning and legal alignment into robust ecosystem development. While over 50 organizations are piloting AI in sectors such as healthcare, shipping, and fintech, the broader diffusion of AI—especially among SMEs—remains limited. Bridging gaps in technical capacity, applied R&D, and commercial scaling will be crucial to unlocking AI's productivity and societal value. Cyprus's digital infrastructure forms a solid foundation for AI scale-up. With a high score in data and infrastructure readiness, and partnerships such as the UAE-backed data center initiative, the country is positioning itself as a regional data gateway connecting Europe, Asia, and Africa. However, compute capacity, access to high-performance computing (HPC), and sector-specific data sharing platforms remain under development. Regulatory sandboxes and open data initiatives are steps in the right direction, but Cyprus must accelerate efforts to provide SMEs and researchers with accessible, secure, and interoperable data environments.

From a governance perspective, Cyprus has embraced a compliance-forward model, closely aligned with the EU AI Act. Rather than introducing comprehensive national legislation, the country has appointed competent authorities—including the Communications Commissioner and the Commissioner for Personal Data Protection—to oversee market surveillance and rights protection. The recently formed National AI Taskforce advises the President on strategy and real-world AI applications, while the AI Expert Group helps monitor policy implementation and trend forecasting. This distributed model reflects Cyprus's commitment to EU harmonization and rights-based digital governance. Cyprus's emphasis on ethical AI is evident in its promotion of algorithmic transparency, GDPR adherence, and the creation of the Ethics and Trustworthy AI Committee. These measures provide a regulatory backbone for AI experimentation in sensitive areas like healthcare, education, and public administration. Yet, operational clarity, SME guidance, and streamlined oversight mechanisms will be essential for full and effective implementation of the AI Act.

Talent development remains a strategic priority. Cyprus has launched curriculum reforms, AI-specific master's programs, and digital upskilling initiatives, with a strong focus on lifelong learning. Nevertheless, critical shortages in applied AI engineering and cross-sector deployment capabilities persist. Efforts to expand vocational training, reskilling for professionals, and cross-disciplinary learning must scale to meet the growing demand for AI literacy and integration readiness. To achieve its long-term AI vision, Cyprus must double down on inclusive innovation strategies. This includes expanding access to regulatory sandboxes, boosting regional research partnerships, and supporting AI adoption by SMEs through targeted funding, accelerators, and public-private collaboration. Establishing a National Centre of Excellence in AI and leveraging EU programs such as Horizon Europe are key steps toward a more interconnected and resilient innovation ecosystem.

Internationally, Cyprus is an active contributor to European and global AI standard-setting bodies, including ISO/IEC and CEN/CENELEC. It aligns closely with the OECD AI Principles and participates in EU working groups, reinforcing its position as a cooperative and rights-driven AI actor. Cyprus's focus on ethical, human-centric, and sustainable AI development complements broader European digital goals and its role as a fintech and data infrastructure hub in the Mediterranean. Cyprus has laid the institutional and strategic groundwork—the next imperative is targeted execution and innovation delivery. With continued commitment to EU-aligned regulation, ethical design, and inclusive capacity-building, Cyprus can scale its AI ecosystem in a way that reflects both its regional strengths and its global aspirations.





Appendix A: Expert Vignettes



Iosif Konstantinou

*Member of the Chartered
Institute of Arbitrators (CIArb)*



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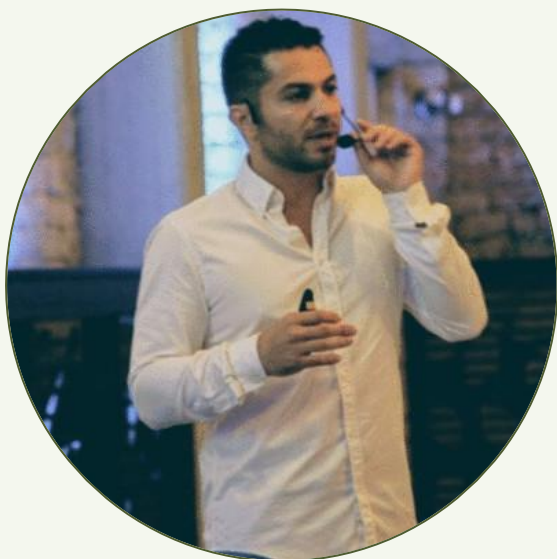
“By positioning itself as an AI hub, Cyprus strikes a fine balance between EU-aligned regulatory frameworks, a fintech-friendly ecosystem, and an advantageous geographical location serving as a data gateway for Europe, Asia, and Africa. For Cyprus to truly reach the big players in the EU, it must now resolve the serious challenges of attracting private investment, adoption by SMEs, and scaling up its infrastructure. If Cyprus were to push sandbox programs further for fintech and health AI and increase access to high-performance computing while also channeling money and training specifically to SMEs, the country would truly be able to claim the mantle of the regional AI leader. It's a setup that lends itself well to success, but now it comes down to taking action and turning this into reality.”



”

Biography

Iosif Konstantinou, Iosif is a current member of the Chartered Institute of Arbitrators (CIArb) and utilizes his legal education and skills to support his career advancement. Iosif holds a Bachelor of Laws from Frederick University and have completed A-levels in Information and Communication Technology at the University of Cambridge. Moreover, Iosif is a current postgraduate student at Swansea University in Wales, attending the "LegalTech and Commercial Law" program, which includes, among others, AI, smart contracts, blockchain systems, and e-commerce. This unique blend of legal and technical knowledge allows Iosif to approach disputes with a modern, tech-savvy mindset, making him well-equipped to handle the evolving challenges in our increasingly digital landscape.



Nikolas Xenofontos

Salvus Funds



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“Cyprus is objectively a small country. And it is exactly this plain truth that is equipping the nation with a desire to utilize the growing fintech startup ecosystem and the multi-cultural, skilled talent pool that has been fueling it and increasing in number over the past 20 years, to choose the path of AI innovation and robust digital infrastructure to make its size limitation irrelevant in the global reality of an AI-driven world.”



”

Biography

Nikolas Xenofontos, Nikolas is involved in projects relating to licensing or acquisition of regulated entities (investment, fund, crypto and payment services):

- Crypto-asset services providers (CASP)
- EMIs & Digital Banks
- Investment Firms (from traditional asset managers and managements to online CFD and Crypto trading)
- Investment Funds

Nikolas is a problem solver with an ability to see through the noise. He is particularly interested in helping vision become reality.





Orfhlaith (Orla) Ni Chorcora

Business Consultant



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“The art of the possible and technological advances inspire excitement, ambition and, in part trepidation. It is imperative the private and public sectors partner together to collectively drive an ecosystem of innovation in service to the citizen, humanity and our planet.”



”

Biography

Orfhlaith (Orla) Ni Chorcora, Orla currently works as an Independent Consultant, and is taking a purposeful pause from the corporate world while continuing to leverage over 30 years of leadership in channel sales, strategic partnerships, and market development—primarily across Europe, the Middle East, and Africa. Most recently, Orla served as VP Channel EMEA at Equinix, where she built and scaled the region’s Channel Sales model across diverse partner types, fostering an interconnected ecosystem around Equinix’s industry-leading digital infrastructure. Before that, Orla was VP for Cloud Systems & Tech Channel at Oracle (Southern Europe, East Central Europe, Middle East & Africa), leading the transformation of a vast partner ecosystem amid the industry’s shift to cloud.



Alexia Solomou

Spencer West Cyprus



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“Over the past few years, Cypriot technology and innovation companies have been on the rise. This phenomenon is coupled with several technology companies choosing Cyprus as a country of activity, in light of the comparative advantages offered in Cyprus, both in terms of tax benefits, but also in terms of employment and residence. This is a direct result of the Cyprus Headquartering and Relocation programme, with the adoption of a new strategy for attracting businesses and talent in Cyprus.”



”

Biography

Alexia Solomou, holds a wealth of public international law experience, spanning 15 years of practice in a multiplicity of international organisations, law firms, and academic institutions. Alexia’s areas of expertise are international litigation and arbitration, international refugee law, international human rights, land and maritime delimitation, environmental law, statehood, state responsibility, transitional justice, peace agreements, and the use of force in international law. Alexia’s practice also focuses on international law aspects of EU-funded projects, including firearms trafficking, human trafficking and the international regulation of technological advancements, such as the use of AI and cybersecurity.





George Polemidiotis

POLEMIDIOTIS LAW



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“Cyprus is entering a pivotal phase in AI development, combining EU-aligned regulation, local innovation, and cross-sector adoption. The opportunity ahead lies in responsibly scaling AI to drive competitiveness, research excellence, and sustainable digital transformation.”

”

Biography

George Polemidiotis, George Polemidiotis (pllaw.com.cy) is a Cyprus-based legal expert specializing in AI, fintech and technology regulation and compliance. With experience advising high profile global companies and multinational clients, he contributes to shaping ethical AI adoption in the region.



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